

fers you have pre-established gateways such as CCAvenue and PayPal. If you're lucky you don't even have to invest your own money because venture capitalists are always on the prowl for the next big idea.

Challenging times?

Okay, it isn't as simple as it sounds so let's discuss a few of the challenges before the market players.

The most crucial challenge is the payment mechanism. While online payment is the norm in developed countries, only 20% of purchases are done online in India. Reducing the count of cash on delivery orders is a major task for e-tailers as this model is basically contrary to the original idea of e-commerce. The industry thrives on others' resources, and with cash on delivery an e-tailer has to block his resources. This is actually an obstacle for an industry that hopes to step up from a slow trot to a gallop. Cash on delivery, if it continues for long, may turn into a handicap. Why, you ask? The expenses involved in physically collecting cash, rejections and longer turnaround time to receive money together make cash on delivery a less profitable model to sell goods online.

Typically, e-tailers spend an additional sum of Rs 35-65 for each sale involving cash on delivery. Indiaplaza.com, which sells books and electronic goods, was the pioneer in introducing the concept of cash on delivery. And now, the website finds it 'painful' to continue this way. In an inter-

view to the Economic Times, K Vaitheeswaran, the founder of Indiaplaza.com said, "Cash on delivery is the most inconvenient payment option. It allows customers too much time to change their mind." He adds, "Rejection rates are at about 45%, partly because there is no upfront cash commitment."

The next concern is the last mile delivery mechanism. Only 10% of the total PIN codes in India are covered by courier services. The enormity of

